



PROS AND CONS OF A FINANCIAL ADVISER

Pros

A financial adviser assesses their client's circumstances and identifies mortgage, pension, and investment products that best meet their financial goals. This is useful for people who do not have time to research markets. When a client feels an adviser has given them poor advice or potentially mis-sold a product, it is possible to take legal action.

Cons

Financial advisers have a limited role and do not advise on day-to-day money issues, such as finding the best savings rates or reducing household expenses, but this information can easily be found in newspapers or online. Financial advice can also be expensive – advisers will typically charge about one per cent of any assets managed.

52%
of pre-retirees
in the US use a
financial adviser



Manage debt

Wise savers pay off loans and credit cards as quickly as possible and look for cheaper interest rates that can bring down the cost of borrowing and help reduce mortgage debt more quickly. See pp.156–157

Use investment pay-outs

When investments produce additional income, individuals can use the funds to reduce any debt, as well as reinvesting to build up their assets. See pp.160–161

Financial independence

Effective investment over a lifetime builds up wealth or passive income. If it is successful, an individual can maintain a good standard of living without the need to work.